

US PRE-MARKET BRIEFING

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1. EXECUTIVE SUMMARY

Wall Street heads into the week reeling from the worst selloff in months. The S&P 500 plunged 2.64% on Friday to 7,383.74, the Dow shed 695 points to 50,866.78, and the Nasdaq cratered 4.2% -- snapping a nine-week winning streak. The trigger: a surprisingly strong May jobs report (172K vs. 85K expected) that obliterated rate-cut hopes and reignited fears of a Fed hike. The VIX surged past 21 as the US-Iran war continues to disrupt 20% of global oil transit through the Strait of Hormuz. This week, all eyes are on Wednesday's CPI print -- the single most important data point for the Fed's June 17-18 FOMC meeting. Futures are pointing to a modestly lower open.

2. MARKET SNAPSHOT

Asset	Level	Change	Source
S&P 500 (Fri Close)	7,383.74	-2.64%	CNBC/MarketWatch
Nasdaq Comp (Fri Close)	~22,800	-4.20%	WSJ/Investopedia
Dow Jones (Fri Close)	50,866.78	-1.35%	CNBC/Yahoo Finance
S&P 500 Futures (ES=F)	~7,346	-0.50%	Yahoo Finance
Nasdaq 100 Futures (NQ=F)	~22,660	-0.60%	Yahoo Finance
Dow Futures (YM=F)	~50,867	~Flat	Yahoo Finance
10-Year Treasury Yield	4.52%	+4 bps	Trading Economics
2-Year Treasury Yield	4.15%	+10 bps	Trading Economics
10Y-2Y Spread	+0.37	Steepening	Calculated
VIX	21.51	+39.7%	MacroMicro/CNBC
WTI Crude Oil	\$90.54/bbl	-2.69%	Trading Economics
Brent Crude Oil	\$96.09/bbl	-0.50%	FT Markets
Gold (Spot)	\$4,415.83/oz	-1.34%	Forbes/KITCO
Copper (LME Spot)	\$6.26/lb	-3.80%	Trading Economics
US Dollar Index (DXY)	~98.50	Mixed	London Business News
EUR/USD	1.1641	+0.08%	Investing.com
USD/JPY	160.29	+0.21%	Yahoo Finance
CME FedWatch (Jun FOMC)	98.4% Hold	Unchanged	Benzinga/CME

3. KEY THEMES

Theme 1: JOBS SHOCK RESETS RATE EXPECTATIONS

Friday's nonfarm payrolls printed at 172,000 -- more than double the 85,000 consensus -- while unemployment held at 4.3%. The result crushed the narrative of a softening labor market that had been fueling rate-cut bets. CME FedWatch now prices a 98.4% probability of a June hold, with the first cut not fully priced until December. The 2-year yield jumped 10 bps to 4.15%, and the market is now debating whether the Fed might need to HIKE rather than cut. This is a material regime shift from just two weeks ago.

Theme 2: TECH/AI SELLOFF ACCELERATES

The Nasdaq's 4.2% Friday plunge was its worst single-day drop in months. Nvidia, the poster child of the AI trade, saw its market cap hover near \$4.97 trillion but is under pressure as investors question whether AI capex justification can survive a higher-for-longer rate environment. The "magnificent seven" cohort is now down significantly from February highs. Alphabet is dipping in premarket on AI spending concerns and antitrust pressure. The rotation out of momentum/growth into value/defensive is accelerating.

Theme 3: US-IRAN WAR & THE STRAIT OF HORMUZ CRISIS

The US-Israel coalition conflict with Iran has effectively blocked the Strait of Hormuz since February 28, disrupting roughly 20% of global oil transit. WTI crude has pulled back from recent highs near \$98 to ~\$90.54 on de-escalation hopes, but the structural supply risk remains. Iran has laid fewer than 10 mines but has struck an oil tanker and launched missiles toward Kuwait and Bahrain. Even a peace deal won't immediately restore full shipping flows. This is the single largest geopolitical risk to global markets in 2026.

Theme 4: SURGING TREASURY YIELDS & THE BOND SELL-OFF

The 10-year yield has risen to 4.52%, with the 2-year at 4.15%. The curve has steepened as the market prices in fewer cuts and potentially higher terminal rates. The WSJ Dollar Index rose 1.07% on the week to 96.60. The combination of strong jobs, sticky inflation expectations, and massive government borrowing (the tax cut bill is coming) is creating a perfect storm for bonds. TLT (20+ year Treasury ETF) is under severe pressure.

Theme 5: COMMODITY DEFLATION FLASH -- GOLD & COPPER SLIDE

Gold dropped below \$4,420/oz on Friday, down over 3% for the week, as real yields surged and the dollar strengthened. Copper plunged 3.8% to \$6.26/lb on growth concerns and the strong dollar. This is notable because copper is often seen as a barometer of global economic health. The commodity complex is sending mixed signals: oil is elevated on supply risk, but industrial metals and precious metals are selling off on demand/dollar concerns.

Theme 6: CHINA'S XI VISITS NORTH KOREA -- GEOPOLITICAL REALIGNMENT

Xi Jinping arrives in Pyongyang today (June 8) for a two-day state visit -- his first trip to North Korea in nearly seven years and his first overseas trip of 2026. This follows separate summits with Trump and Putin, signaling Beijing's intent to reassert its alliance with Pyongyang amid deepening US-China tensions. The visit underscores the formation of a China-Russia-North Korea axis that has profound implications for Asian security, supply chains, and the US dollar's role in the region.

Theme 7: SPACEX IPO LOOMS -- JUNE 12 NASDAQ DEBUT

SpaceX is targeting a Nasdaq debut on June 12 under ticker SPCX, with a staggering valuation target of \$1.77 trillion. The company generated \$18.7 billion in 2025 revenue (+33% YoY). This will be the largest IPO in history and could make Elon Musk the world's first trillionaire. The IPO market hasn't seen anything like this, and the debut will be a major sentiment test for high-growth/tech valuations in a rising rate environment.

4. WHAT TO WATCH TODAY (MONDAY, JUNE 8)

Time (ET)	Time (BKK)	Event	Impact
04:00 AM	03:00 PM	US Premarket Open -- futures direction	High
06:30 AM	05:30 PM	Fed Governor Waller speech (if scheduled)	Med
08:30 AM	07:30 PM	No major US economic data (light calendar)	Low
09:30 AM	08:30 PM	US Equity Market Open	High
02:00 PM	01:00 AM+1	Xi Jinping arrives in Pyongyang	Med
Throughout	Throughout	US-Iran ceasefire negotiations	High
Throughout	Throughout	Oil price action (WTI/Brent) on Hormuz news	High

KEY FOCUS FOR TODAY:

- Futures are pointing to a modestly lower open. Watch for any bounce attempts or continued selling pressure from Friday's rout.
- Xi's North Korea visit begins -- watch for joint statements that could impact Asian markets and US-China relations.
- Iran negotiation updates could swing oil prices significantly.
- Light economic calendar means market will be driven by technicals, geopolitics, and positioning ahead of Wednesday's CPI.

5. THE HARD TRUTH -- DAMODARAN LENS

Let me be brutally honest about where we are:

The market has been living in a fantasy.

For nine consecutive weeks, stocks climbed on the twin narratives of AI-driven growth and imminent Fed cuts. Friday's reality check was overdue. The labor market is NOT weakening -- it's resilient at 4.3% unemployment. Inflation is NOT conquered -- core PCE is still running hot, and this week's CPI could confirm sticky price pressures. The idea that the Fed would cut rates 2-3 times in 2026 was always wishful thinking, and the market is now pricing what the data actually says: NO cuts for the foreseeable future.

The AI trade is facing its first real stress test.

For two years, the narrative was "AI will justify any valuation." But in a world where the 10-year yield is 4.5%+ and the Fed is not cutting, the present value of distant future AI profits drops materially. Nvidia at 35x forward earnings is NOT cheap when risk-free rates are 4.5%. The market is starting to discipline growth stock valuations, and there's more pain ahead for overcrowded AI longs.

The US-Iran war is an underpriced tail risk.

WTI at \$90 assumes a relatively quick resolution. But Iran has blocked the Strait of Hormuz for three months with no resolution in sight. If the conflict escalates or persists through summer, \$120+ oil is plausible, which would be recessionary and inflationary simultaneously -- the worst possible combination for equities. The market is pricing this as a transient shock. It might not be.

The bond market is telling you something stocks refuse to hear.

With the 10-year at 4.52% and rising, the bond market is saying that fiscal profligacy (the tax cut bill), persistent inflation, and strong growth mean higher rates for longer. Equities are ignoring this at their peril. The equity risk premium is compressing, and at some point, the arbitrage between risk-free 4.5% and equity returns becomes a headwind, not a tailwind.

What to do:

This is not the time to be heroic. Reduce beta. Trim AI/tech overweights. Add duration only if you believe the Fed will be forced to cut recession (not yet). Hold some cash. The next two weeks -- CPI on Wednesday, FOMC on June 17-18 -- will determine whether this is a buying opportunity or the beginning of a meaningful correction. Don't guess. Wait for the data.

6. WEEKLY ECONOMIC CALENDAR (JUNE 8-12, 2026)

Day	Time (ET)	Release	Consensus	Impact
MON 6/8	--	No major releases		Low
	All Day	Xi visits North Korea		Med
TUE 6/9	--	No major US releases		Low
	--	Fed speakers (monitor)		Med
WED 6/10	08:30 AM	CPI MoM (May)	0.3%	HIGH
	08:30 AM	CPI YoY (May)	~3.0%	HIGH
	08:30 AM	Core CPI MoM (May)	0.3%	HIGH
	08:30 AM	Core CPI YoY (May)	~3.2%	HIGH
	10:00 AM	Fed Chair Powell speaks		HIGH
THU 6/11	08:30 AM	Initial Jobless Claims	220K	Med
	08:30 AM	PPI MoM (May)	0.2%	Med-High
	08:30 AM	Core PPI MoM (May)	0.2%	Med
	--	SpaceX IPO roadshow cont.		Med
FRI 6/12	10:00 AM	U. of Mich. Consumer Sent.	[est]	Med
	10:00 AM	U. of Mich. 1Y Inflation	[est]	Med
	--	SpaceX IPO / Nasdaq debut		High

DATA SOURCES & NOTES

Sources: CNBC, Yahoo Finance, MarketWatch, WSJ, Reuters, Trading Economics, Investing.com, Bloomberg, Benzinga, CME FedWatch, MacroMicro, Forbes, London Business News, FT Markets, BBC, The Diplomat

- All prices as of Friday June 5, 2026 close unless otherwise noted.
- Futures data reflects pre-market indications as of briefing generation.
- BKK = Bangkok Time (UTC+7), ET = Eastern Time (UTC-4/5).
- The 10Y-2Y curve has turned positive/steepening, which historically precedes economic acceleration but also reflects inflation risk premium.
- Nasdaq Composite close estimated from reported 4.2% decline.

END OF BRIEFING -- OWL | ZOO | 2026-06-08